

**Time:** 5 minutes**Outcome:** Calculate consumption, investment, government purchases, and net exports.**Difficulty:**

Intermediate

GDP Components



THE CORE IDEA

The expenditure approach divides GDP into consumption, investment, government purchases, and net exports. Consumption covers household purchases of final goods and services; investment includes business capital, residential construction, and inventory changes; government purchases pay for current goods and services. Net exports add exports and subtract imports so GDP counts only domestic production, while transfer payments are excluded until recipients spend them on current output.



HOW TO RECOGNIZE IT

- Classify final spending as consumption, investment, government purchases, or net exports.
- Count newly produced capital goods and inventory changes as investment.
- Exclude transfer payments because they are not payments for current production.
- Subtract imports within net exports so foreign production is not counted in domestic GDP.



WATCH OUT

A common mistake is to count transfer payments as government purchases. Transfers redistribute income; they enter GDP only when recipients later spend them on newly produced final goods or services.



WORKED EXAMPLE: CLASSIFYING GDP EXPENDITURES

A business buys a newly produced domestic machine for \$2 million; this is investment. Government pays contractors \$80 million to repair roads; this is government purchases. An \$80 million benefit payment is a transfer and is not counted when sent, though any later household purchase of final goods enters consumption. The expenditure identity classifies the counted spending as $C + I + G + NX$.



CHECK YOURSELF

Does a government benefit payment enter G when it is sent?

**READY?**

Return to the game and master this concept.